

takes time because what you will do for the first few days is torture yourself. I could have done this. I could have done that. But for me, after a few days, I can let it go. Once you let go, you can unwind. Then, when you come back, you have to set rules. You need to be able to say that you won't trade for, say, two weeks. You'll see trades that you are itching to do, but you need to have the discipline not to do them because, clearly, you are not in sync with the markets. Otherwise you wouldn't be where you are. When you feel you are ready to begin trading and see a trade that you really like, trade a fraction of the size you would normally trade. At least half the time, the trade may go your way initially, but then it will go against you because all you may be experiencing is a feel for the next few ticks.

[At this point, the president of First New York Securities ushers in my son, who works at the firm, saying, "I wanted to introduce a young man to you." (I had arrived at just the last minute for my scheduled meeting with Clark, so I did not get a chance to say hello to my son first.) We all chat for a few minutes, and they leave. Clark queries me a bit about my son. In describing the trading style he is gravitating toward, I mention that high volume is one of the things he looks for in trading setups.]

That is quite interesting because one of the things I did at Lehman when I was short on information was to filter for European stocks that had unusually large volume. Then I went through all the charts of those stocks to see if any were making interesting bottoms. I would then call my contacts and ask them what they knew about those specific stocks. That's how I started to find situations to trade. Volume is incredibly important. I have found it to be a very valuable indicator.

And still do?

Yes. If a stock has been bombed out, and there is a sudden jump in volume, it doesn't mean you should buy it straight away because it can go quiet again. But clearly, somebody is there beginning to buy. Then you watch for signs that the stock is resilient on down days in the market, suggesting there is underlying buying support for the stock, and you begin to nibble away at establishing a position. Sometimes, the stock will then see a day where all of a sudden it just gaps up, and you trade to